

Equip — model, tool, knowledge

LESSON 03 • FOUNDATIONS • THE AGENT LIFECYCLE

What you'll learn

- Pick the agent's model in Studio and understand when a fast, low-cost default is the right call versus when to swap up for more reasoning.
- Create a Knowledge Base, upload your own support docs, and ground the agent so it answers from your content instead of inventing facts.
- Attach a web-search tool so the agent can reach beyond its docs for the rare question they don't cover.
- Confirm memory is on so the agent holds context across a conversation and the customer never repeats themselves.

Key concepts

The model is the agent's brain, and you can swap it without rebuilding anything. It's the engine that does the reasoning, and Studio offers a range across providers. A fast, low-cost default is exactly right for a high-volume support agent; if you later need more reasoning power, you change the model in one place and everything else stays intact.

Grounding is the fix for confident hallucination. Ask a plain model about Northwind's warranty and it will give a specific, authoritative answer that is completely made up — the fastest way to lose a customer's trust. Attaching a Knowledge Base of your own documents forces the agent to answer from your content, so every claim traces back to a real policy.

Knowledge is what the agent knows; tools are what it can do. A Knowledge Base grounds the agent in your docs. A web-search tool gives it a way to act when a question falls outside those docs — it sits in the background and the agent decides when to reach for it, instead of guessing.

Memory turns a series of messages into a real conversation. It's on by default, and it lets the agent remember what was said earlier so a customer never has to repeat themselves. Without it, every message starts from a blank state.

Equipped is not the same as safe to ship. With a model, grounded knowledge, a tool, and memory, the agent is genuinely useful — but useful and safe to ship are two different bars. Guardrails come next.

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In Studio

1. Open the support agent you built in the last lesson. Find the model selector — it shows the default, a fast, low-cost model from a major provider. Keep it for now; note that this is where you'd swap to a stronger model later without touching anything else.
2. Click **Add Knowledge Base**. Name the new base **Northwind Help Docs**.
3. Upload your actual support documentation into it — the returns, warranty, and shipping policy files. Studio ingests the documents and attaches the Knowledge Base to the agent.
4. Verify grounding: ask *"What is the warranty policy for laptops at Northwind?"* The answer (one-year limited manufacturer warranty, covers defects in materials and workmanship, excludes accidental and liquid damage) should come straight from your docs, with an offer to share the extended-warranty policy.
5. Attach a **web-search tool** so the agent can look beyond the docs for questions they don't cover. It runs in the background; the agent decides when to use it.
6. Confirm **memory** is enabled — it's on by default, so the agent carries context across the conversation.

TRY THIS

- 1** Build a tiny Knowledge Base with a single fact only your docs would know — *"Northwind laptops carry a one-year limited warranty."* Ask the agent the warranty question once *before* attaching it and once *after*. Watch it go from a confident guess to a grounded, doc-backed answer.
- 2** Ask the agent something your docs clearly *don't* cover (for example, a competitor's current pricing). Notice whether it reaches for the web-search tool instead of inventing an answer.
- 3** Have a short multi-turn chat — mention a detail in one message, then refer back to it (*"and what about that order?"*) a message later. Confirm memory is doing its job and the agent doesn't ask you to repeat yourself.